BERNSTEIN
SOCIETE GENERALE GROUP

30 July 2026

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U.S. Semiconductor Capital Equipment

Lam Research Corp

Rating

Outperform

Price Target

LRCX **360.00 USD** (340.00 *OLD*)

Lam Research (LRCX): FQ426 recap - Pretty darn good!

LRCX F4Q26 results were good ($6.72B/$1.82 vs Street $6.68B/ $1.70) with the beat driven by CSBG strength (which hit another record). Foundry revenues fell ~7% QoQ on mature node somewhat offset by leading edge investments; DRAM revenues fell ~3%; however NAND revenues grew ~118% QoQ driven by customer upgrades, and Logic revenues were up ~63% QoQ. Gross margins at 52.0% were well above expectations. China revenue exposure fell significantly to ~26% in the quarter, down ~$240M QoQ.

And F1Q27 guidance was extremely strong ($8.10B/$2.15/52.0% vs Street $7.13B/ $1.84/50.6%). 52% gross margins were well above ~50.6%, and long term gross/operating margin targets were raised (now to mid 50's and mid 40's respectively vs prior 50%+/35% +). They now see CY26 WFE in the low $150B range vs $140B prior, and while not providing CY27 suggested that it would be a "pretty darn good" year (and were comfortable suggesting sequential growth can continue over that time period).

What is there to say? This was about as good of a print from the company as we have ever seen, and things appear only getting better from here. As strong as this year is it remains cleanroom-constrained, limits that should begin to free up into 2027/28 allowing Lam to further benefit as spending levels move higher, with favorable exposure to key inflections (GAA, packaging, HBM, NAND upgrades and greenfield builds. etc.) and growing success at capturing more value from them (pricing actions, etc.). It should be said that the company is executing exceedingly well, with investors now looking forward not just to robust growth opportunities but also structurally stronger margins, driving further upside. And following the sharp unwind in the space over the last several weeks, valuation feels more supportive.

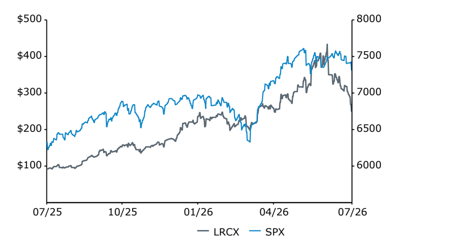
We raise estimates, and roll our valuation horizon forward to FY28 from the average of FY27/28, while lowering our multiple from 40x to 35x; we take our price target to $360 from $340 (35x on FY27/28 avg EPS of $10.14). We rate LRCX Outperform.

Close Date	29 Jul 2026
LRCX Close Price (USD)	252.35
Price Target (USD)	360.00
Upside/(Downside)	43%
52-Week Range	438.50/90.94
SPX	7,316.15
FYE	Jun
Div Yield	0.4%
Market Cap (USD) (M)	315,582
EV (USD) (M)	314,565

Performance	YTD	1M	6M	12M
Absolute (%)	47.4	(38.6)	1.7	155.1
SPX (%)	6.9	(1.7)	5.0	14.8
Relative (%)	40.5	(36.9)	(3.3)	140.2

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

LRCX (OP, $360): The company is benefiting from key inflections (GAA, packaging, HBM, NAND upgrades) and CY26/27 commentary seems supportive.

Adjusted EPS	F26A	F27E	F28E
LRCX (USD)	**5.82**	**9.17**	**10.14**
OLD	--	7.98	8.99

Financials	F26A	F27E	F28E	CAGR
EBIT (M)	8,200	13,417	14,446	--
FCF (M)	4,891	10,765	11,700	--
Revenues (M)	23,233	34,346	36,274	--
EBITDA Margin (%)	--	--	--	--

Valuation Metrics	F26A	F27E	F28E
Adjusted P/E (x)	43.4	27.5	24.9

Source: Bloomberg, Bernstein estimates and analysis.

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DETAILS

For our LRCX model, please click: here.

LRCX F4Q26 results were good ($6.72B/$1.82 vs Street $6.68B/ $1.70) with the beat driven by CSBG strength (which hit another record). Sequentially, Foundry revenues fell ~7% with mature node spending down in China, somewhat offset by investments in 3nm and 2nm nodes and advanced packaging, while DRAM revenues fell ~3% with spending directed towards wafer additions and technology migrations. NAND revenues however grew ~118% QoQ driven by customer upgrades, and Logic revenues were up ~63% QoQ. Gross margins at 52.0% were well above expectations driven by price, operational and scale efficiencies, and product mix. China revenue exposure fell significantly to ~26% in the quarter, down ~$240M QoQ.

- 4Q26 sales of $6.72B were slightly above consensus ($6.68B) and guidance of $6.60B (**Exhibit 1**). The beat was driven by CSBG which reached another record.
  - Systems revenues were $4.25B (+14% QoQ, +24% YoY), below consensus of $4.43B (**Exhibit 2**).
  - CSBG revenues were $2.47B (+17% QoQ, +43% YoY), significantly above consensus at $2.15B (**Exhibit 2**) driven by record upgrade revenues and sequential increases in Reliant and services revenues, while spares were consistent with the March-q.
- By end market, DRAM, NAND, Foundry, and Logic/Other accounted for 23%, 23%, 44%, and 10% of total systems' revenue, respectively (**Exhibit 3**). Sequentially, Foundry revenues were down ~7% with mature node spending down in China, somewhat offset by investments in 3nm and 2nm nodes and advanced packaging. DRAM revenues were down ~3% QoQ, and were flat on a $-basis QoQ with spending directed towards wafer additions and technology migrations (1-alpha, 1-beta and 1-gamma nodes). NAND revenues grew ~118% QoQ driven by customer upgrades to >256 layer devices and Logic revenues were up ~63% QoQ (**Exhibit 4**).
- With strong sequential growth in NAND spending, Memory sales were up QoQ to ~46% of systems revenue this quarter (**Exhibit 5**).
- By region, China was down significantly and accounted for ~26% of revenues, with 27% from Taiwan, 20% from Korea, 9% from the US, 9% from Japan, 5% from SEA and 4% from Europe (**Exhibit 6**). China concentration was down 8ppt QoQ vs the 34% seen in 3Q26, with China revenues down ~$240M QoQ (**Exhibit 7**).
- Gross margins were 52.0%, the highest the company has seen is 20 years, well above consensus (50.5%) and guidance (50.5%), up ~220 bps sequentially (**Exhibit 8**) driven by a combination of price, operational and scale efficiencies, and product mix.
- Opex came in at $916M, slightly below consensus at $924M.
- Operating margins of 38.4% were well above consensus (36.7%) and guidance of 36.5% (**Exhibit 8**) on higher revenues, gross margins and opex discipline.
- Tax rate of 11.0% was below expectations.
- PF EPS of $1.82 was ahead of consensus at $1.70 (**Exhibit 9**).
- Deferred revenue was up $214M in the quarter, landing at ~$2.43B (**Exhibit 10**).

And F1Q27 guidance was extremely strong and well above consensus across the board ($8.10B/$2.15/52.0% vs Street $7.13B/$1.84/50.6%). Like its peer, management further raised their CY26 WFE outlook to the low $150B range from $140B prior, noting that the upside is from customers finding ways to better utilize existing cleanroom space. Gross margins are expected sequentially at ~52%, well above consensus estimates of ~50.6%, and they also took their long term gross/operating margin targets up (now to mid 50's and mid 40's respectively vs prior 50% +/35%+). While not providing a CY27 WFE number, Management suggested that CY27 would be a "darn good" year (and were comfortable suggesting sequential growth can continue over that time period) with growth in all segments (DRAM fastest, followed by Foundry/Logic and then NAND). And Management sounded confident that it

could outgrow the industry next year again as it will likely do in CY26.

- Management guided F1Q27 sales to $8.1B, ~$1B above consensus (Street at $7.13B) and suggested it could grow revenues sequentially from the Sep-Q over subsequent quarters. Lam suggested CSBG revenues would be ~flattish next quarter, implying systems growth >30% QoQ.

- Gross margins were guided to 52.0%, well above consensus at 50.6%, and flat sequentially.

- Opex was implicitly guided to a little over $1.0B (~12.5% of revenue) above consensus on a dollar basis ($967M), as management continues to invest in R&D to broaden the product portfolio.

- Operating Margins were guided to 39.5%, significantly above consensus at 37.0% despite higher opex on much higher revenues and gross margins.

- Diluted shares for next quarter were guided to 1,255M, a touch above consensus at ~1,237M.

- The tax rate is seen up into the mid-teens % due to increase in revenue in the US and higher US GILTI rates, with the company expecting the higher tax rates to persist in CY26 and likely beyond.

- PF EPS was guided to $2.15, significantly above consensus at $1.84 (**Exhibit 11**).

- Like KLA, Lam raised their CY26 WFE outlook from $140B (with a bias to the upside) last quarter to the low $150B range as the industry continues to work through constraints and customers find ways to better utilize cleanroom space. Unlike KLA, however, Lam refrained from providing a WFE number for CY27, but suggested that CY27 would be a “darn good” year, with ~8-10 new fabs coming online and with growth in all segments (DRAM fastest, followed by Foundry/Logic, and then NAND). And Management sounded confident that it could outgrow the industry next year again as it will likely do in CY26. In that vein, Lam noted that they are progressing well on expanding their SAM from low-30% of WFE range into the high-30% range with the company likely already towards the high-end of the range at ~36% or so.

- Management also further took up Lam’s CY26 advanced packaging revenue expectations which are now seen growing >70% YoY this year, and views future growth drivers as very favorable, with successive generations of advanced packaging requiring more redistribution layers, denser copper interconnects, taller structures, and increasingly complex power delivery networks.

- China WFE spending is still expected be flattish YoY in CY26, with Lam noting that spending from multinationals was up QoQ while domestic Chinese customers’ spending was down, a trend that management expects to continue through the year.

- Lastly, the company provided an updated framework to their long-term profitability model they introduced during their last investor day, with Lam now targeting gross and operating margins in the mid-50s and mid-40s range over time, respectively, vs prior 50%+/35%+ offered up at the analyst day in February 2025 (those prior targets have been hit years early).

What is there to say? This was about as good of a print from the company as we have ever seen, and things appear to be only getting better from here. As strong as this year is it remains cleanroom-constrained, limits that should begin to free up into 2027/28 allowing Lam to further benefit as spending levels move higher, with favorable exposure to key inflections (GAA, packaging, HBM, NAND upgrades and greenfield builds etc) and growing success at capturing more value from them (pricing actions etc). It should be said that the company is executing exceedingly well, with investors now looking forward not just to robust growth opportunities but also structurally stronger margins, driving further upside. And following the sharp unwind in the space over the last several weeks valuation feels more supportive.

- This was quite a result from the company, about as good of a print from them as we have ever seen. And things appear to only be getting better from here.

- As strong as this year appears (with the company clearly outgrowing a robust WFE market), it remains cleanroom-constrained, but those limits should begin to free up into 2027/28 for the industry allowing Lam to further benefit as spending levels continue to move higher.

- The company has favorable exposure to key inflections (GAA, packaging, HBM, NAND upgrades and greenfield builds etc) and is apparently becoming more successful at capturing more value from their capabilities (pricing actions etc).

- And beyond benefitting from the broader demand environment it should be said that the company is executing exceedingly well, with investors now looking forward not just to robust growth opportunities but also structurally stronger margins, driving further upside.

- And following the recent sharp unwind in the space valuation feels more supportive too (**Exhibit 12**).

Other tidbits:

- Cash return in the quarter was $572M ($325M in dividends, $247M in share buybacks) and represented 45% of FCF in the quarter and 105% of FCF on a TTM basis (**Exhibit 13**).

- Free cash flow in the quarter was $1,268M (19% FCF margin) and ~$4.9B on a TTM basis (21% FCF margin) (**Exhibit 14**).

- Inventory dollars were up $276M to $4,276M vs $4,000M last quarter, while inventory days fell to 121 vs 124 in Q3 (**Exhibit 15**).

We update our model, raising estimates, and introduce our FY29 numbers. We also roll our valuation horizon forward to FY28 from the average of FY27/28, and while lowering our multiple from 40x to 35x take our price target to $360 from $340. We maintain our Outperform rating.

- We update our model, raising estimates, and introduce our FY29 numbers.

- We raise our FY2027 revenue estimate from $30.2B to $34.3B, FY2028 from $32.5B to $36.3B, and introduce FY29 at $42.7B.

- We raise our FY2027 PF EPS estimate from $7.98 to $9.17, FY2028 from $8.99 to $10.14, and introduce FY29 at $12.78.

- We roll our valuation horizon forward to FY28 from the average of FY27/28, while lowering our multiple from 40x to 35x to reflect recent industry uncertainty.

- We raise our price target from $340 to $360 (~35x, down from ~40x, on our FY28 non-GAAP EPS estimate of $10.14).

- We maintain our Outperform rating.

EXHIBIT 1: **LRCX Jun-Q results were good, above Street and our expectations across the board**

Q426	Actual	Consensus	Actual vs. Consensus	Bernstein	Actual vs. Bernstein
Revenue	$6,722	$6,682	$40	$6,613	$109
PF Gross Margin	52.0%	50.5%	149 bps	50.5%	153 bps
Operating Margin	38.4%	36.7%	169 bps	36.5%	189 bps
PF Diluted EPS ($)	$1.82	$1.70	$0.12	$1.67	$0.14

Source: Company reports, Bloomberg, Bernstein analysis and estimates

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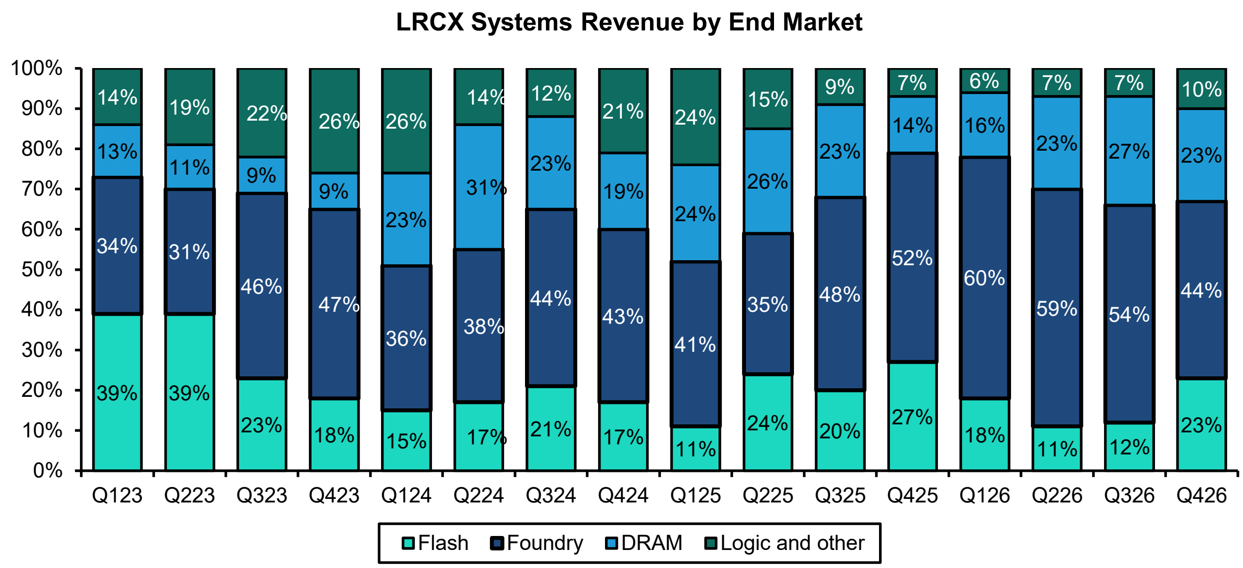
EXHIBIT 2: **Systems revenues were up 14% QoQ and up 24% YoY, CSBG revenues were up 17% QoQ and up 43% YoY**

FQ	Q123	Q223	Q323	Q423	Q124	Q224	Q324	Q424	Q125	Q225	Q325	Q425	Q126	Q226	Q326	Q426
Systems Revenue	$3,182	$3,548	$2,256	$1,710	$2,057	$2,299	$2,396	$2,170	$2,393	$2,626	$3,035	$3,438	$3,548	$3,357	$3,731	$4,250
QoQ	6%	11%	-36%	-24%	20%	12%	4%	-9%	10%	10%	16%	13%	3%	-5%	11%	14%
YoY	9%	29%	-15%	-43%	-35%	-35%	6%	27%	16%	14%	27%	58%	48%	28%	23%	24%
Foundry	$1,082	$1,100	$1,038	$804	$740	$874	$1,054	$933	$981	$919	$1,457	$1,788	$2,129	$1,981	$2,015	$1,870
%	34%	31%	46%	47%	36%	38%	44%	43%	41%	35%	48%	52%	60%	59%	54%	44%
DRAM	$414	$390	$203	$154	$473	$713	$551	$412	$574	$683	$698	$481	$568	$772	$1,007	$977
%	13%	11%	9%	9%	23%	31%	23%	19%	24%	26%	23%	14%	16%	23%	27%	23%
NAND	$1,241	$1,384	$519	$308	$308	$391	$503	$369	$263	$630	$607	$928	$639	$369	$448	$977
%	39%	39%	23%	18%	15%	17%	21%	17%	11%	24%	20%	27%	18%	11%	12%	23%
Logic and Other	$445	$674	$496	$445	$535	$322	$287	$456	$574	$394	$273	$241	$213	$235	$261	$425
%	14%	19%	22%	26%	26%	14%	12%	21%	24%	15%	9%	7%	6%	7%	7%	10%
Customer Support Revenues	$1,892	$1,730	$1,614	$1,497	$1,425	$1,459	$1,398	$1,702	$1,775	$1,750	$1,685	$1,734	$1,777	$1,987	$2,111	$2,472
QoQ	16%	-9%	-7%	-7%	-5%	2%	-4%	22%	4%	-1%	-4%	3%	2%	12%	6%	17%
YoY	37%	16%	14%	-8%	-25%	-16%	-13%	14%	25%	20%	21%	2%	0%	14%	25%	43%
Total	$5,074	$5,278	$3,870	$3,207	$3,482	$3,758	$3,794	$3,872	$4,168	$4,376	$4,720	$5,171	$5,324	$5,345	$5,841	$6,722
QoQ	9%	4%	-27%	-17%	9%	8%	1%	2%	8%	5%	8%	10%	3%	0%	9%	15%
YoY	18%	25%	-5%	-31%	-31%	-29%	-2%	21%	20%	16%	24%	34%	28%	22%	24%	30%

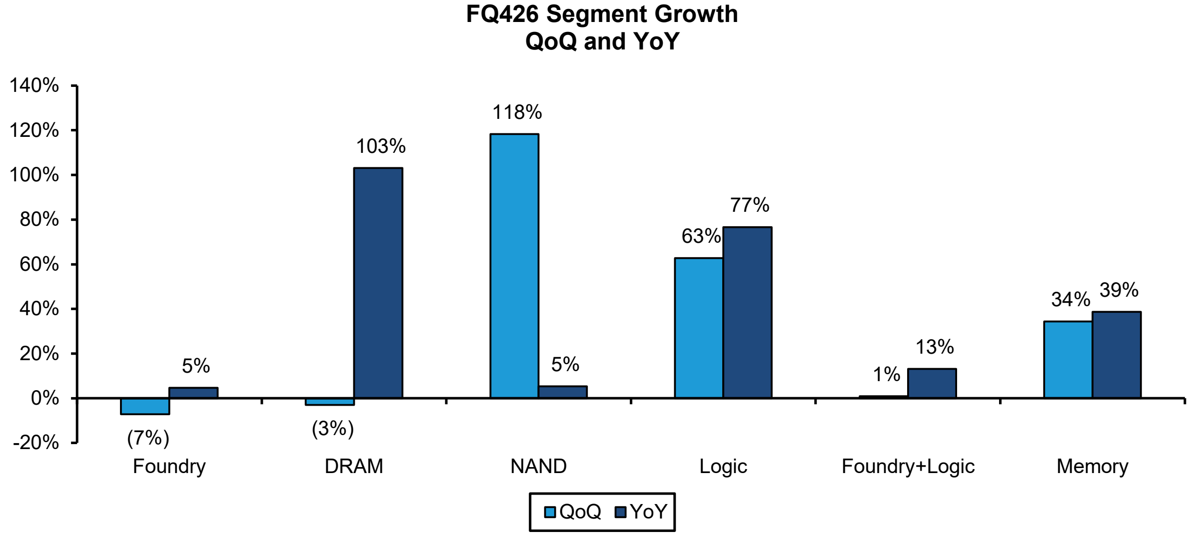
Source: Company reports, Bernstein analysis

EXHIBIT 3: **Foundry was down 10ppt sequentially while DRAM was down 4ppt and Logic grew 3ppt. NAND had a very strong quarter and was up 11ppt QoQ**



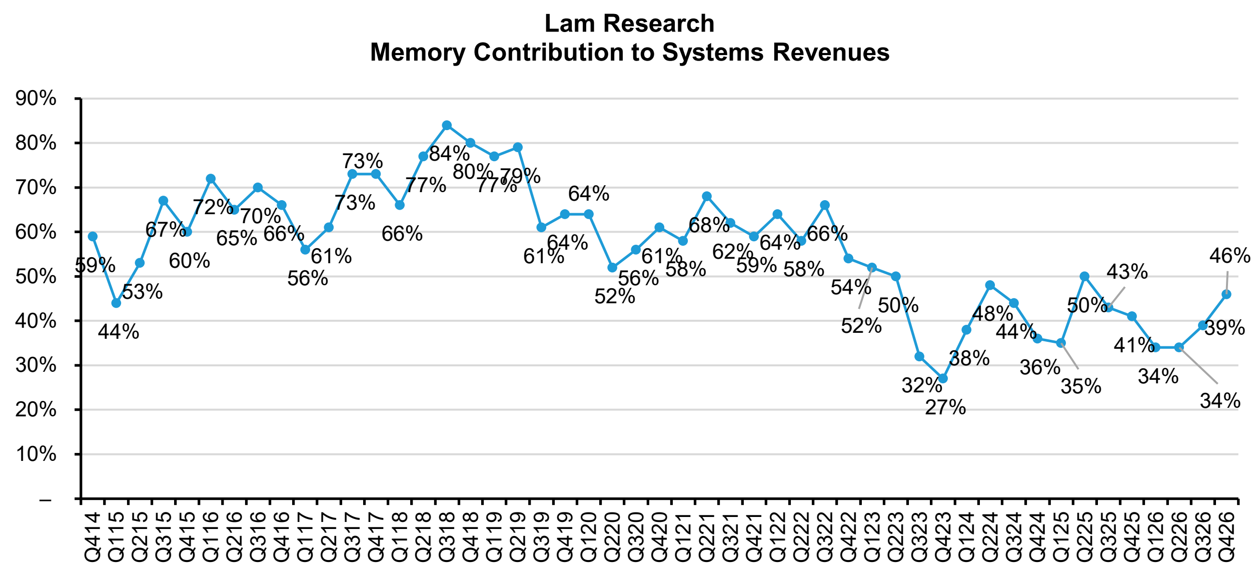
Source: Company reports, Bernstein analysis

EXHIBIT 4: **NAND and Logic saw strong growth QoQ, while Foundry and DRAM were down slightly QoQ**



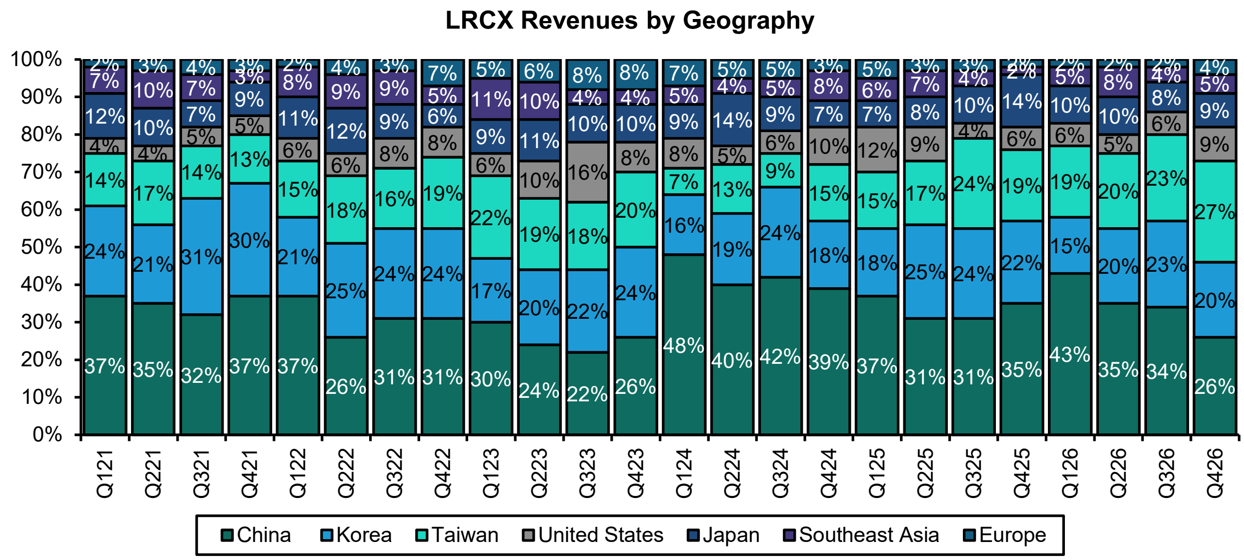
Source: Company reports, Bernstein analysis

EXHIBIT 5: **Memory share was up 7ppt QoQ to 46% with equal share from DRAM and NAND**



Source: Company reports, Bernstein analysis

EXHIBIT 6: **Taiwan grew the most as % of revenue this quarter followed by the US and Europe. China and Korea were down 8ppt and 3ppt as a % of revenues, respectively QoQ**

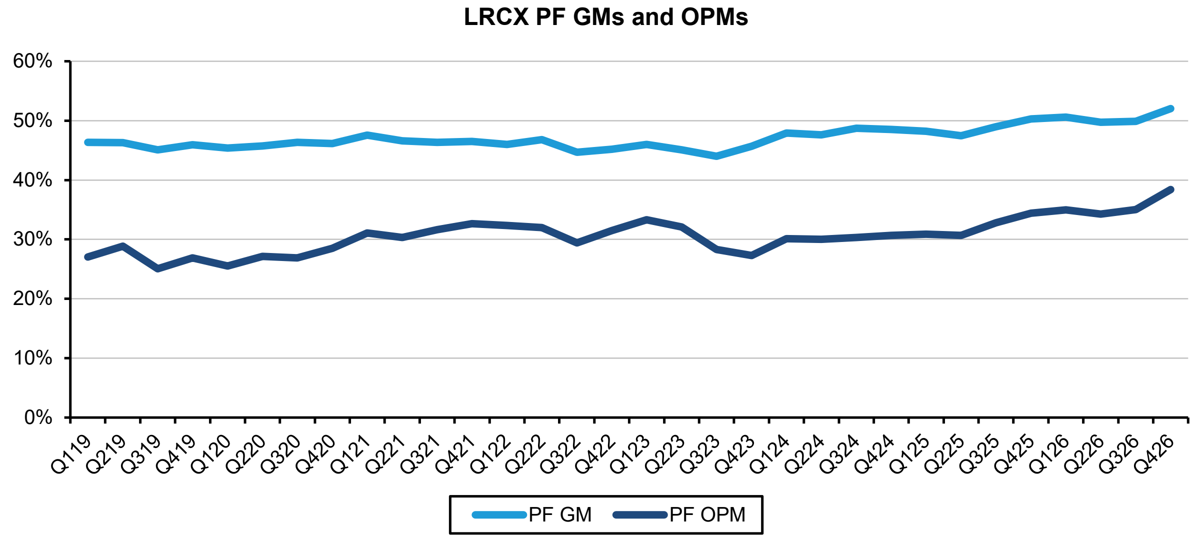


Source: Company reports, Bernstein analysis

EXHIBIT 7: **China revenues were down by $238M sequentially, with revenue exposure down ~8ppt sequentially to 26% in the quarter**

Source: Company reports, Bernstein analysis

EXHIBIT 8: **Margins were up strongly QoQ, with PF gross margin up >200bps QoQ and operating margin up ~340bps sequentially**



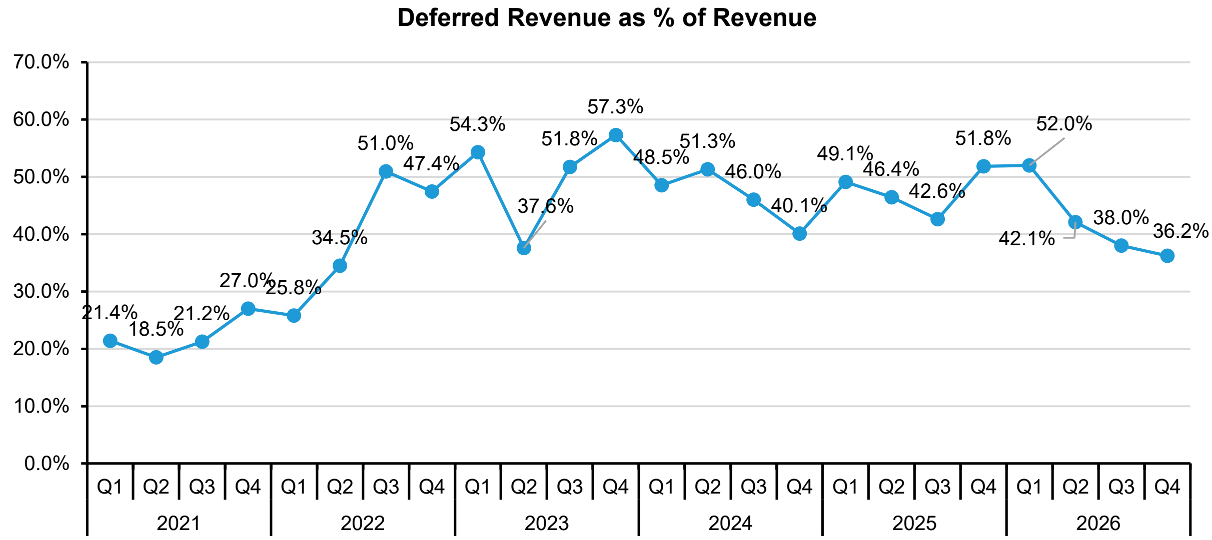
Source: Company reports, Bernstein analysis

EXHIBIT 9: **LRCX results beat consensus estimates across the board**

426	Consensus	Actual	Δ	Bernstein
Revenue ($M)	$6,682	$6,722	$40	$6,613
COGS ($M)	$3,305	$3,225	-$80	$3,273
Gross Profit ($M)	$3,377	$3,497	$121	$3,340
Gross margin %	50.5%	52.0%	149.1 bps	50.5%
Opex ($M)	$924	$916	-$8	$926
Operating income ($M)	$2,452	$2,581	$128	$2,414
Operating margin %	36.7%	38.4%	169.1 bps	36.5%
Other expense, net ($M)	$5	-$19	-$24	$2
EBT ($M)	$2,457	$2,562	$104	$2,416
Tax ($M)	-$344	-$282	$62	-$314
Tax rate %	14.0%	11.0%	-301 bps	13.0%
Net Income ($M)	$2,113	$2,280	$167	$2,102
DSO (M)	1245	1256	11	1255
EPS ($)	$1.70	$1.82	$0.12	$1.67

Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 10: **LRCX deferred revenues grew by $214M in the quarter to ~$2.43B, falling ~2pts as a % of revenue to ~36%**



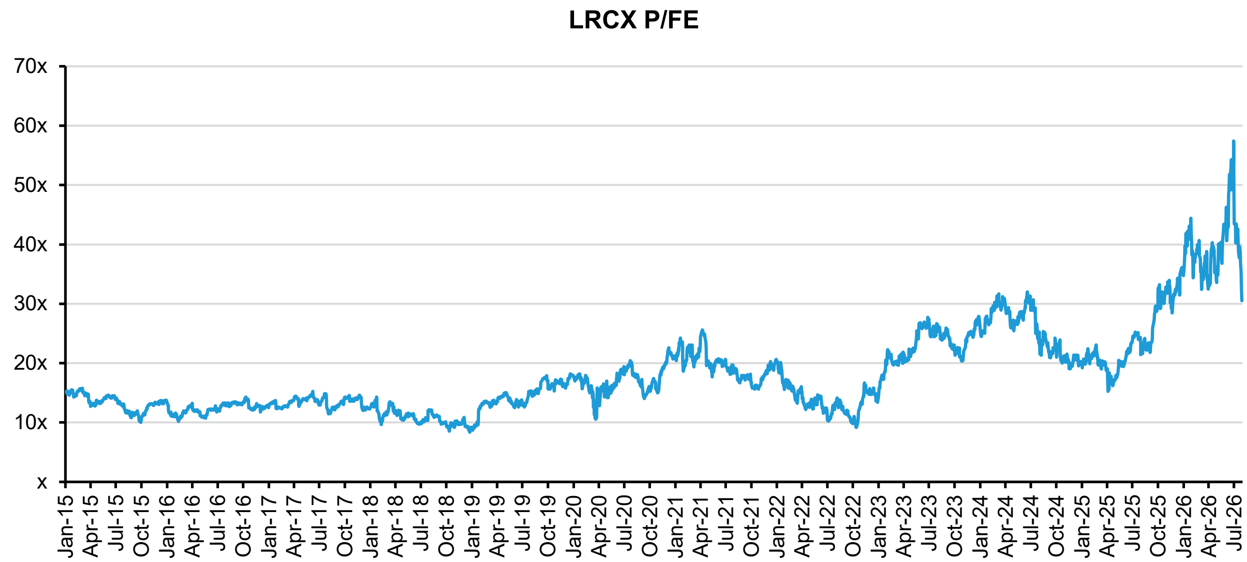
Source: Company reports, Bernstein analysis

EXHIBIT 11: **LRCX's guidance was significantly above Sep-Q consensus estimates, with revenue beating by almost $1B and much stronger margins**

		Q127 Guidance		Prior Consensus	
	Q426 Results	Range	Midpoint	Q127 Expectations	Delta
Revenue	$6,722	$7,700 - $8,500	$8,100	$7,130	$970
Gross Margin	52.0%	51.0% - 53.0%	52.0%	50.6%	141 bps
Operating Margin	38.4%	38.5% - 40.5%	39.5%	37.0%	247 bps
EPS	$1.82	$2.00 - $2.30	$2.15	$1.84	$0.31
DSO	1,256		1,255	1,237	18

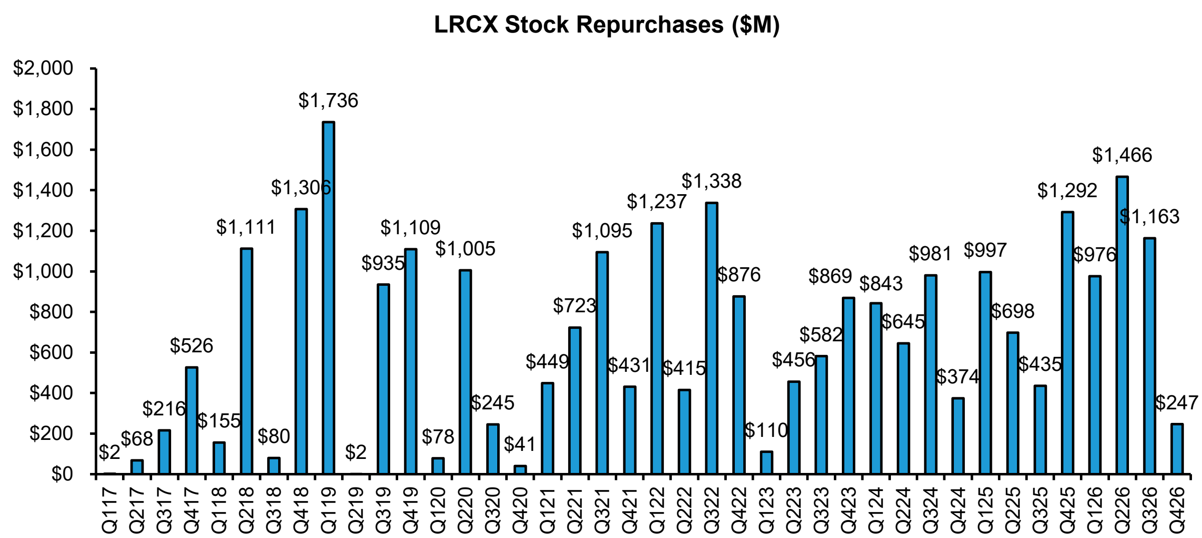
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 12: **Lam's valuation has come down significantly, now trading ~30x**



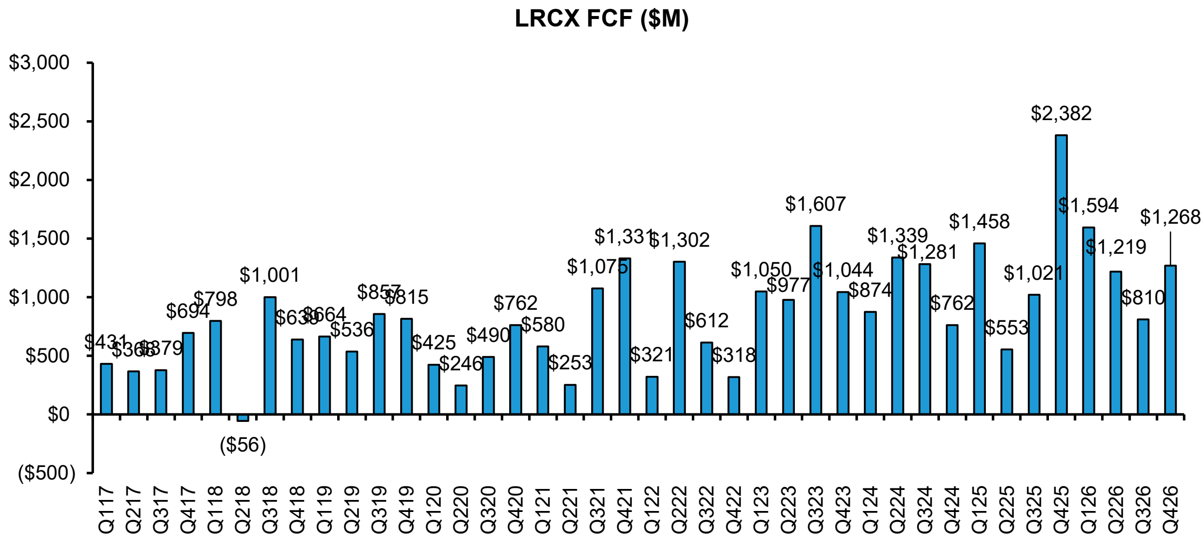
Bloomberg data as of 7/29/26.
Source: Bloomberg, Bernstein analysis

EXHIBIT 13: **LRCX repurchased ~$250M worth of stock in the quarter**



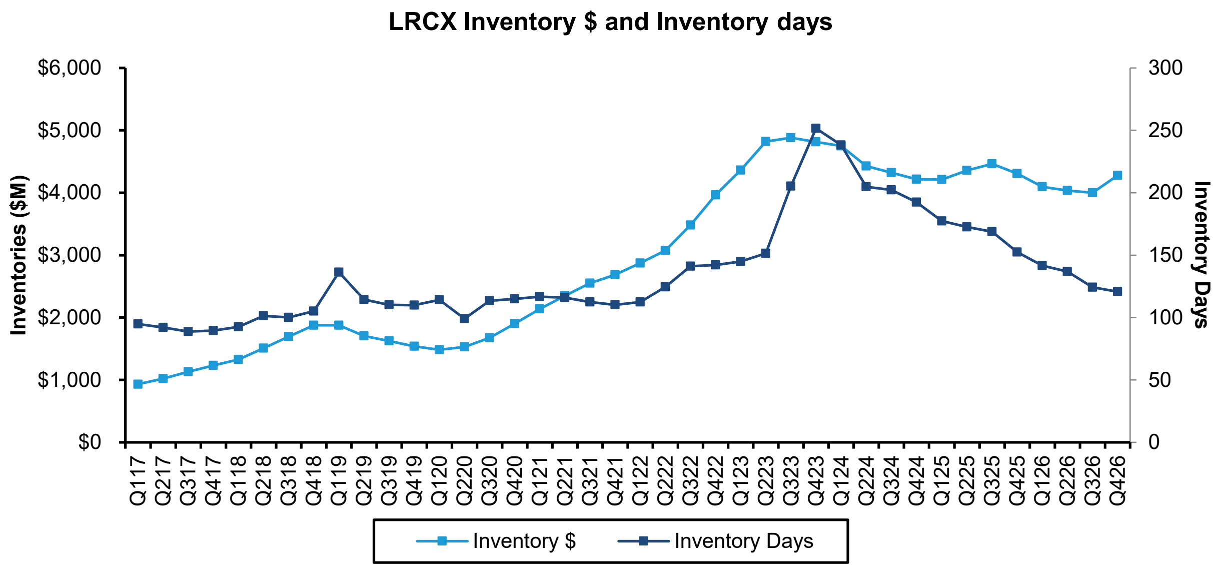
Source: Company reports, Bernstein analysis

EXHIBIT 14: **LRCX FCF was up QoQ to $1,268M and stood at ~$4.9B on a TTM basis**



Source: Company reports, Bernstein analysis

EXHIBIT 15: **Inventory dollars were up $276M sequentially to ~$4.3B while inventory days further decreased in the quarter**



Source: Company reports, Bernstein analysis

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EXHIBIT 16: **Bernstein LRCX Income Statement**

INCOME STATEMENT																
Fiscal Period	**2026**	**2027E**	**2028E**	**2029E**	**Q126**	**Q226**	**Q326**	**Q426**	**Q127E**	**Q227E**	**Q327E**	**Q427E**	**Q128E**	**Q228E**	**Q328E**	**Q428E**
Non-GAAP Revenue	$23,233	$34,346	$36,274	$42,693	$5,324	$5,345	$5,841	$6,722	$8,111	$8,723	$8,739	$8,773	$8,700	$8,783	$9,197	$9,595
Non-GAAP COGS	$11,470	$16,617	$17,230	$19,900	$2,631	$2,687	$2,928	$3,225	$3,893	$4,274	$4,239	$4,211	$4,132	$4,172	$4,368	$4,558
Non-GAAP Gross Profit	$11,762	$17,729	$19,044	$22,792	$2,694	$2,658	$2,913	$3,497	$4,218	$4,449	$4,501	$4,562	$4,567	$4,611	$4,828	$5,037
Non-GAAP Operating Expenses	$3,442	$4,301	$4,586	$4,981	$832	$827	$866	$916	$1,012	$1,073	$1,101	$1,114	$1,114	$1,124	$1,159	$1,190
Non-GAAP R&D	$2,331	$2,962	$3,200	$3,498	$566	$565	$585	$614	$688	$741	$760	$772	$774	$782	$809	$835
Non-GAAP SG&A	$1,111	$1,339	$1,386	$1,482	$266	$262	$281	$302	$324	$331	$341	$342	$339	$343	$349	$355
Non-GAAP Operating Income	$8,320	$13,429	$14,458	$17,812	$1,862	$1,831	$2,047	$2,581	$3,206	$3,376	$3,400	$3,448	$3,454	$3,487	$3,669	$3,848
Non-GAAP Other expense, net	($9)	$74	$220	$378	$8	$10	($8)	($19)	$6	$14	$20	$33	$41	$50	$59	$69
Non-GAAP Pre-tax Income	$8,312	$13,503	$14,677	$18,190	$1,869	$1,841	$2,039	$2,562	$3,212	$3,390	$3,420	$3,481	$3,495	$3,537	$3,729	$3,916
Non-GAAP Provision for Income taxes	($978)	($2,058)	($2,202)	($2,728)	($265)	($244)	($188)	($282)	($514)	($509)	($513)	($522)	($524)	($531)	($559)	($587)
Non-GAAP Net Income	$7,334	$11,445	$12,476	$15,461	$1,605	$1,598	$1,851	$2,280	$2,698	$2,882	$2,907	$2,959	$2,971	$3,007	$3,169	$3,329
GAAP Basic Share Outstanding	1,254	1,244	1,225	1,205	1,264	1,255	1,250	1,251	1,250	1,246	1,242	1,238	1,233	1,228	1,223	1,218
GAAP Basic EPS	**$5.79**	**$9.19**	**$10.17**	**$12.82**	$1.24	$1.27	$1.46	$1.82	$2.16	$2.31	$2.34	$2.39	$2.41	$2.45	$2.59	$2.73
GAAP Diluted Share Outstanding	1,260	1,249	1,230	1,210	1,269	1,262	1,257	1,256	1,255	1,251	1,247	1,243	1,238	1,233	1,228	1,223
GAAP Diluted EPS	**$5.76**	**$9.16**	**$10.13**	**$12.77**	$1.24	$1.26	$1.45	$1.81	$2.15	$2.30	$2.33	$2.38	$2.40	$2.44	$2.58	$2.72
Non-GAAP Diluted Share Outstanding	1,260	1,249	1,230	1,210	1,269	1,262	1,257	1,256	1,255	1,251	1,247	1,243	1,238	1,233	1,228	1,223
Non-GAAP Diluted EPS	**$5.82**	**$9.17**	**$10.14**	**$12.78**	$1.26	$1.27	$1.47	$1.82	$2.15	$2.30	$2.33	$2.38	$2.40	$2.44	$2.58	$2.72
Pro-Forma Reconciliation																
GAAP Revenue	**$23,233**	**$34,346**	**$36,274**	**$42,693**	$5,324	$5,345	$5,841	$6,722	$8,111	$8,723	$8,739	$8,773	$8,700	$8,783	$9,197	$9,595
GAAP COGS	**$11,507**	**$16,628**	**$17,241**	**$19,911**	$2,639	$2,694	$2,931	$3,243	$3,896	$4,277	$4,241	$4,214	$4,135	$4,174	$4,371	$4,560
GAAP Gross Profit	**$11,725**	**$17,719**	**$19,033**	**$22,782**	$2,685	$2,651	$2,911	$3,479	$4,215	$4,446	$4,498	$4,559	$4,565	$4,608	$4,826	$5,035
GAAP R&D	**$2,376**	**$2,962**	**$3,200**	**$3,498**	$576	$573	$583	$643	$688	$741	$760	$772	$774	$782	$809	$835
GAAP SG&A	**$1,150**	**$1,340**	**$1,388**	**$1,484**	$279	$268	$280	$322	$325	$332	$341	$342	$340	$343	$350	$355
GAAP Operating expenses	**$3,526**	**$4,302**	**$4,588**	**$4,982**	$856	$841	$864	$965	$1,013	$1,073	$1,102	$1,115	$1,114	$1,125	$1,159	$1,190
GAAP Operating Income	**$8,200**	**$13,417**	**$14,446**	**$17,800**	$1,829	$1,810	$2,047	$2,513	$3,203	$3,373	$3,397	$3,445	$3,451	$3,484	$3,666	$3,845
GAAP Other expenses, net	**$63**	**$72**	**$218**	**$376**	$30	$26	($35)	$42	$6	$14	$20	$33	$41	$50	$59	$68
GAAP Pre-tax income	**$8,262**	**$13,489**	**$14,663**	**$18,176**	$1,859	$1,837	$2,012	$2,555	$3,208	$3,387	$3,417	$3,477	$3,492	$3,534	$3,725	$3,913
GAAP Income tax expenses	**($997)**	**($2,057)**	**($2,202)**	**($2,728)**	($291)	($243)	($186)	($278)	($514)	($509)	($513)	($522)	($524)	($531)	($559)	($587)
GAAP Net Income	**$7,265**	**$11,431**	**$12,461**	**$15,447**	$1,569	$1,594	$1,825	$2,277	$2,695	$2,878	$2,904	$2,955	$2,968	$3,003	$3,166	$3,325

Margins and Growth Rates																
PF Gross Margins	50.6%	51.6%	52.5%	53.4%	50.6%	49.7%	49.9%	52.0%	52.0%	51.0%	51.5%	52.0%	52.5%	52.5%	52.5%	52.5%
R&D as % of Sales	10.0%	8.6%	8.8%	8.2%	10.6%	10.6%	10.0%	9.1%	8.5%	8.5%	8.7%	8.8%	8.9%	8.9%	8.8%	8.7%
SG&A as % of Sales	4.8%	3.9%	3.8%	3.5%	5.0%	4.9%	4.8%	4.5%	4.0%	3.8%	3.9%	3.9%	3.9%	3.9%	3.8%	3.7%
PF Opex as % of Sales	14.8%	12.5%	12.6%	11.7%	15.6%	15.5%	14.8%	13.6%	12.5%	12.3%	12.6%	12.7%	12.8%	12.8%	12.6%	12.4%
PF OPM	35.8%	39.1%	39.9%	41.7%	35.0%	34.3%	35.0%	38.4%	39.5%	38.7%	38.9%	39.3%	39.7%	39.7%	39.9%	40.1%
Tax Rate	(11.8%)	(15.2%)	(15.0%)	(15.0%)	(14.2%)	(13.2%)	(9.2%)	(11.0%)	(16.0%)	(15.0%)	(15.0%)	(15.0%)	(15.0%)	(15.0%)	(15.0%)	(15.0%)
Net Margin	31.6%	33.3%	34.4%	36.2%	30.1%	29.9%	31.7%	33.9%	33.3%	33.0%	33.3%	33.7%	34.2%	34.2%	34.5%	34.7%
QoQ																
Sales					3.0%	0.4%	9.3%	15.1%	20.7%	7.5%	0.2%	0.4%	(0.8%)	1.0%	4.7%	4.3%
Gross Profit					3.6%	(1.3%)	9.6%	20.1%	20.6%	5.5%	1.2%	1.4%	0.1%	1.0%	4.7%	4.3%
R&D					0.1%	(0.0%)	3.6%	4.9%	12.0%	7.8%	2.5%	1.5%	0.3%	1.0%	3.5%	3.1%
SGA					3.4%	(1.6%)	7.1%	7.6%	7.4%	2.2%	2.8%	0.4%	(0.8%)	1.0%	2.0%	1.6%
Operating Profit					4.7%	(1.7%)	11.8%	26.1%	24.2%	5.3%	0.7%	1.4%	0.2%	1.0%	5.2%	4.9%
Tax Rate					-938 bps	93 bps	401 bps	-178 bps	-500 bps	100 bps	00 bps	00 bps	00 bps	00 bps	00 bps	00 bps
Net Income					(5.5%)	(0.4%)	15.9%	23.1%	18.3%	6.8%	0.9%	1.8%	0.4%	1.2%	5.4%	5.0%
DSO					(0.6%)	(0.6%)	(0.3%)	(0.1%)	(0.1%)	(0.3%)	(0.3%)	(0.3%)	(0.4%)	(0.4%)	(0.4%)	(0.4%)
EPS					(4.9%)	0.2%	16.3%	23.3%	18.4%	7.2%	1.2%	2.1%	0.8%	1.6%	5.8%	5.5%
YoY																
Sales	26.0%	47.8%	5.6%	17.7%	27.7%	22.1%	23.8%	30.0%	52.3%	63.2%	49.6%	30.5%	7.3%	0.7%	5.2%	9.4%
Gross Profit	30.7%	50.7%	7.4%	19.7%	34.1%	28.0%	26.0%	34.5%	56.6%	67.4%	54.5%	30.4%	8.3%	3.6%	7.3%	10.4%
R&D	12.2%	27.1%	8.0%	9.3%	16.1%	14.8%	9.8%	8.8%	21.6%	31.2%	29.9%	25.7%	12.6%	5.4%	6.4%	8.1%
SGA	15.2%	20.5%	3.5%	6.9%	13.4%	8.3%	21.9%	17.3%	21.8%	26.4%	21.4%	13.2%	4.6%	3.3%	2.5%	3.8%
Operating Profit	39.7%	61.4%	7.7%	23.2%	44.7%	36.4%	32.1%	45.1%	72.2%	84.4%	66.1%	33.6%	7.7%	3.3%	7.9%	11.6%
Tax Rate	-93 bps	-347 bps	24 bps	00 bps	-41 bps	-06 bps	412 bps	-622 bps	-184 bps	-177 bps	-578 bps	-400 bps	100 bps	00 bps	00 bps	00 bps
Net Income	37.6%	56.1%	9.0%	23.9%	43.1%	36.0%	38.6%	34.3%	68.1%	80.4%	57.0%	29.8%	10.1%	4.3%	9.0%	12.5%
DSO	(2.2%)	(0.9%)	(1.5%)	(1.6%)	(2.7%)	(2.3%)	(2.4%)	(1.6%)	(1.1%)	(0.9%)	(0.8%)	(1.1%)	(1.4%)	(1.4%)	(1.5%)	(1.6%)
EPS	40.7%	57.6%	10.7%	26.0%	47.0%	39.2%	42.0%	36.5%	70.1%	82.0%	58.4%	31.2%	11.6%	5.9%	10.7%	14.4%

Source: Company reports, Bernstein estimates and analysis

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EXHIBIT 17: **Bernstein LRCX Balance Sheet and Cash Flow Statement**

BALANCE SHEET																
Fiscal Period	**2026**	**2027E**	**2028E**	**2029E**	**Q126**	**Q226**	**Q326**	**Q426**	**Q127E**	**Q227E**	**Q327E**	**Q427E**	**Q128E**	**Q228E**	**Q328E**	**Q428E**
Assets																
Current Assets:																
Cash and cash equivalents	$5,579	$10,101	$14,732	$21,732	$6,693	$6,180	$4,751	$5,579	$6,614	$7,413	$9,021	$10,101	$11,260	$12,359	$13,573	$14,732
Investments	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Accounts receivable, net	$5,340	$6,969	$7,622	$8,809	$3,633	$3,492	$4,133	$5,340	$6,443	$6,929	$6,942	$6,969	$6,911	$6,976	$7,305	$7,622
Inventories	$4,276	$5,474	$5,697	$6,377	$4,095	$4,038	$4,000	$4,276	$5,256	$5,642	$5,298	$5,474	$5,372	$5,423	$5,461	$5,697
Prepaid expenses and other current assets	$416	$564	$620	$718	$386	$308	$413	$416	$532	$558	$573	$564	$564	$568	$596	$620
Non-cash current assets	$10,032	$13,007	$13,939	$15,904	$8,114	$7,838	$8,546	$10,032	$12,231	$13,129	$12,813	$13,007	$12,847	$12,967	$13,362	$13,939
Total current assets	**$15,611**	**$23,108**	**$28,671**	**$37,636**	$14,807	$14,018	$13,297	$15,611	$18,845	$20,542	$21,835	$23,108	$24,107	$25,326	$26,935	$28,671
PP&E, net	$2,956	$3,956	$4,883	$5,940	$2,511	$2,711	$2,854	$2,956	$3,201	$3,462	$3,713	$3,956	$4,185	$4,409	$4,642	$4,883
Restricted cash and investments	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Goodwill and intangible assets	$1,896	$1,884	$1,872	$1,860	$1,827	$1,864	$1,882	$1,896	$1,893	$1,890	$1,887	$1,884	$1,881	$1,878	$1,875	$1,872
Other assets	$3,067	$4,192	$4,610	$5,331	$2,756	$2,798	$2,759	$3,067	$3,994	$4,241	$4,167	$4,192	$4,205	$4,225	$4,412	$4,610
Total assets	**$23,530**	**$33,140**	**$40,036**	**$50,766**	$21,900	$21,391	$20,792	$23,530	$27,933	$30,134	$31,601	$33,140	$34,377	$35,837	$37,863	$40,036
Liabilities and Stockholders' Equity																
Non-debt current liabilities	$5,933	$9,648	$10,552	$12,196	$5,954	$5,459	$5,238	$5,933	$8,916	$9,593	$9,612	$9,648	$9,567	$9,659	$10,114	$10,552
Current portion of convertible notes and capital leases	$4	$4	$4	$4	$754	$754	$4	$4	$4	$4	$4	$4	$4	$4	$4	$4
Total current liabilities	**$5,937**	**$9,652**	**$10,556**	**$12,200**	$6,708	$6,213	$5,242	$5,937	$8,920	$9,598	$9,616	$9,652	$9,571	$9,663	$10,118	$10,556
Senior notes, convertible notes, and capital leases, less current pc	$3,730	$3,730	$3,730	$3,730	$3,730	$3,730	$3,730	$3,730	$3,730	$3,730	$3,730	$3,730	$3,730	$3,730	$3,730	$3,730
Income taxes payable	$681	$681	$681	$681	$646	$668	$622	$681	$681	$681	$681	$681	$681	$681	$681	$681
Other long-term liabilities	$710	$936	$1,023	$1,146	$624	$635	$613	$710	$885	$973	$954	$936	$932	$939	$981	$1,023
Total liabilities	**$11,059**	**$14,999**	**$15,990**	**$17,758**	$11,707	$11,246	$10,207	$11,059	$14,216	$14,982	$14,982	$14,999	$14,915	$15,014	$15,511	$15,990
Total stockholders' equity	**$12,471**	**$18,140**	**$24,046**	**$33,008**	$10,193	$10,145	$10,585	$12,471	$13,717	$15,152	$16,619	$18,140	$19,463	$20,824	$22,353	$24,046
Total liabilities and stockholders' equity	**$23,530**	**$33,140**	**$40,036**	**$50,766**	$21,900	$21,391	$20,792	$23,530	$27,933	$30,134	$31,601	$33,140	$34,377	$35,837	$37,863	$40,036

CASH FLOW STATEMENT																
Fiscal Period	**2026**	**Q209**	**Q210**	**Q211**	**Q126**	**Q226**	**Q326**	**Q426**	**Q127E**	**Q227E**	**Q327E**	**Q427E**	**Q128E**	**Q228E**	**Q328E**	**Q428E**
Cash flows from operating activities:																
Net income	**$7,265**	**$11,431**	**$12,461**	**$15,447**	$1,569	$1,594	$1,825	$2,277	$2,695	$2,878	$2,904	$2,955	$2,968	$3,003	$3,166	$3,325
Depreciation and amortization	$442	$558	$717	$877	$102	$104	$116	$120	$124	$134	$145	$155	$165	$175	$184	$193
Other changes to operatiing cash flows	($1,849)	$321	$154	($360)	$109	($218)	($800)	($940)	$144	($259)	$513	($77)	$187	$84	$45	($162)
Cash provided by operating activities	**$5,858**	**$12,311**	**$13,332**	**$15,964**	$1,779	$1,480	$1,141	$1,457	$2,962	$2,753	$3,562	$3,034	$3,320	$3,262	$3,394	$3,356
Cash flows from investing activities:																
Capital expenditures and intangible assets	**($966)**	**($1,546)**	**($1,632)**	**($1,921)**	($185)	($261)	($332)	($189)	($365)	($393)	($393)	($395)	($391)	($395)	($414)	($432)
Business acquisition, net of cash acquired	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Net sales from available-for-sale investments	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Transfers of restricted cash and investments	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Other	$44	$0	$0	$0	($1)	$3	($3)	$45	$0	$0	$0	$0	$0	$0	$0	$0
Cash used in investing activities	**($922)**	**($1,546)**	**($1,632)**	**($1,921)**	($186)	($258)	($335)	($144)	($365)	($393)	($393)	($395)	($391)	($395)	($414)	($432)
Cash flows from financing activities:																
Debt repayments	($755)	$0	$0	$0	($1)	($1)	($751)	($1)	$0	$0	$0	$0	$0	$0	$0	$0
Debt issuance	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Excess tax benefit on share-based compensation	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Treasury stock purchases	($3,851)	($4,800)	($5,500)	($5,500)	($976)	($1,466)	($1,163)	($247)	($1,200)	($1,200)	($1,200)	($1,200)	($1,375)	($1,375)	($1,375)	($1,375)
Dividends paid	($1,271)	($1,443)	($1,569)	($1,543)	($292)	($328)	($326)	($325)	($363)	($361)	($360)	($359)	($395)	($393)	($391)	($390)
Reissuance of treasury stock related to employee stock purchase	$156	$0	$0	$0	$0	$67	$0	$89	$0	$0	$0	$0	$0	$0	$0	$0
Proceeds from issuance of common stock	$17	$0	$0	$0	$0	$4	$9	$4	$0	$0	$0	$0	$0	$0	$0	$0
Other	($14)	$0	$0	$0	($12)	($1)	$0	($0)	$0	$0	$0	$0	$0	$0	$0	$0
Cash used in financing activities	**($5,718)**	**($6,243)**	**($7,069)**	**($7,043)**	($1,282)	($1,725)	($2,231)	($480)	($1,563)	($1,561)	($1,560)	($1,559)	($1,770)	($1,768)	($1,766)	($1,765)
Free Cash Flow	**$4,891**	**$10,765**	**$11,700**	**$14,043**	$1,594	$1,219	$810	$1,268	$2,597	$2,361	$3,169	$2,639	$2,928	$2,867	$2,980	$2,924

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	29 Jul 2026 Closing Price	Price Target	TTM Rel. Perf.	Cur	Adjusted EPS 2026A	Adjusted EPS 2027E	Adjusted EPS 2028E	Adjusted P/E (x) 2026A	Adjusted P/E (x) 2027E	Adjusted P/E (x) 2028E
LRCX (Lam Research)	O	USD	252.35	**360.00**	140.2%	USD	5.82	**9.17**	**10.14**	43.4	27.5	24.9
OLD				340.00				7.98	8.99			
SPX			7,316.15									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

Lam Research Corp

For LRCX, we apply a ~35x multiple to the average our FY2028 non-GAAP EPS estimate of $10.14 equating to a $360 price target.

RISKS

Lam Research Corp

Downside risks to our price target include the potential for a longer or deeper industry downturn, detrimental end market mix, further NAND spending weakness, share losses, and geopolitical risks.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

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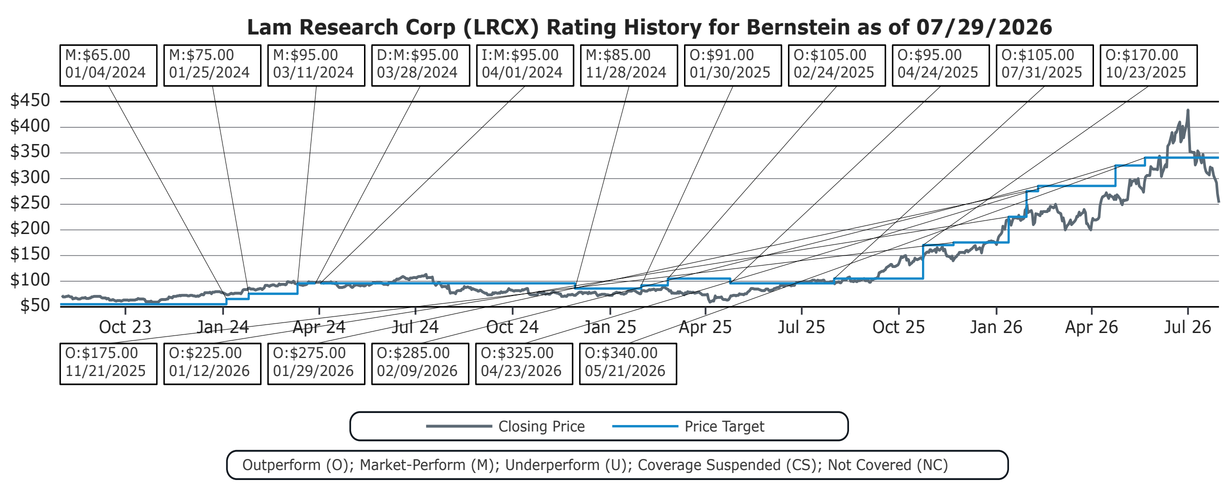

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